

SUBJECT PROPERTY | EXTERIOR STREETVIEW

VERDICT: DO NOT BUY (FLIP) / DO NOT BUY AT ASKING PRICE (HOLD) | INVESTMENT SCORE: 15/100

PROPERTY & VALUATION SNAPSHOT

Property Details	Data
Property Type	2-Family
Beds	6
Baths	2
Year Built	1920

Valuation Metric	Estimated Value
Asking Price	$649,900
Recommended MAO	$380,000
Est. FMV	$380,000
Est. ARV	$685,000
Est. Renovation Budget	$168,000

EXECUTIVE SUMMARY

267 Townsend Street is a 1920-vintage, 2-family asset located in the highly desirable Rutgers University and Robert Wood Johnson Hospital corridor. Despite its A-tier location and premium commuter proximity, the asset is severely mispriced at $649,900, representing a catastrophic capital trap for both flippers and buy-and-hold investors. With an impending CapEx cliff, zero off-street parking, and severe tenant eviction risks, the required $168,000 renovation budget pushes the total basis far beyond the neighborhood's valuation ceiling. Investors must aggressively negotiate the acquisition price down to the $380,000 Fair Market Value to achieve any financial viability.

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FINANCIAL SYNTHESIS & STRATEGY COMPARISON

The financial underwriting for 267 Townsend Street reveals a fundamentally broken deal at the current asking price of $649,900. For a buy-and-hold investor, acquiring the property 'As-Is' results in a negative cash-on-cash return of (5.30%) and a dangerously low DSCR of 0.72, indicating the asset cannot even cover its own debt service. The seller's marketed gross income of $52,800 is entirely eclipsed by the heavy debt load and the impending maintenance costs associated with a 1920s build. Furthermore, the property operates on month-to-month leases requiring a 90-day notice to vacate, introducing severe eviction friction in a highly tenant-friendly state, which will bleed capital and delay any stabilization efforts. Stabilizing the asset requires a massive $168,000 capital injection to cure the mechanical and structural defects. However, executing this heavy-lift renovation will legally trigger an Added Assessment, skyrocketing the annual property taxes from $7,677 to an estimated $12,126. Even with pro-forma gross rents pushed to $72,000, the stabilized cash flow remains negative ($72)/month), and the Cash-on-Cash return plunges to (0.24%). The property's lack of off-street parking acts as a hard valuation ceiling, capping the ARV at $685,000 and resulting in a catastrophic ($132,900) forced appreciation deficit for flippers. The asset must be acquired near its $380,000 true market value to survive the required CapEx load and tax reassessment.

STRATEGY A: BUY & HOLD (LONG-TERM)

UNDERWRITING ASSUMPTIONS

Underwriting Assumption	Value
Purchase Price	$649,900
Down Payment %	25%
Interest Rate	6.00%
Amortization Period	30 Years
Expense Ratio	50%

OPERATING PRO-FORMA

Line Item	Current (As-Is)	Stabilized
Gross Rent	$52,800	$72,000
Vacancy Loss	$2,640	$3,600
EGI	$50,160	$68,400
Operating Expenses	$25,080	$34,200
NOI	$25,080	$34,200
Debt Service	$35,068	$35,068
Monthly Cash Flow	($832)	($72)

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YIELD & RETURN METRICS

Metric	Current (As-Is)	Stabilized
Cap Rate	3.86%	4.18%
Cash-on-Cash Return	(5.30%)	(0.24%)
DSCR	0.72	0.98

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STRATEGY B: FIX & FLIP (SHORT-TERM)

HARD MONEY TERMS

Hard Money Loan Structure	Value
Loan Amount	$752,910
Total Points	$15,058
Total Interest (6 mos)	$41,410

CAPITAL REQUIREMENTS

Capital & Exit Costs	Value
Holding Costs	$10,088
Exit Costs	$54,800
Acquisition/Closing Costs	$25,996
Acquisition Fee	$2,500
Total Deal Cost	$967,752

PROJECTED RETURNS

Projected Flip Margin	Value
Projected ARV	$685,000
Net Profit	($282,752)
Cash-on-Cash Return	(131.61%)
Forced Appreciation	($132,900)

FIX & FLIP SENSITIVITY MATRIX

Scenario	Purchase Price	Rehab Cost	ARV	Net Profit	CoC Return
Worst Case	$682,395	$184,800	$616,500	($399,983)	(183.88%)
Base Case	$649,900	$168,000	$685,000	($282,752)	(131.61%)
Best Case	$617,405	$151,200	$753,500	($165,522)	(78.02%)

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RENOVATION & CAPEX ANALYSIS

The property is a 1920-built asset teetering on the edge of a Capital Expenditure (CapEx) cliff. Visible defects and strategic listing disclosures indicate the roof is over 15 years old and the furnace exceeds 10 years, necessitating immediate replacement. The cosmetic updates from 2023 and 2024 are superficial patches masking aging mechanicals and outdated century-old infrastructure. A full gut-level rehabilitation is required, including new kitchens, bathrooms, HVAC systems, and exterior remediation. Given the 6-bedroom and 2-bathroom configuration across two units, the exact plumbing layout requires verification, as the distribution of these facilities is not explicitly detailed and cannot be assumed. Furthermore, the lack of off-street parking presents a severe logistical constraint that must be factored into the final utility of the renovated space, while opening walls in a 1920 build carries a high risk of discovering knob-and-tube wiring, asbestos, or lead paint.

ITEMIZED CAPEX BUDGET

Category	Est. Cost	Priority
Roof & Gutters (Pitched & Flat Sections)	$14,000	High
Exterior, Porch & Landscaping	$12,000	Medium
Kitchens (2 Units)	$30,000	High
Bathrooms (2 Units)	$20,000	High
Interior Cosmetics	$20,000	Medium
Mechanicals (HVAC/Elec/Plumb)	$36,000	Critical
Permits, Dumpsters & Soft Costs	$8,000	High
Contingency (20% - High-Risk 1920 Build)	$28,000	Critical

ESTIMATED CONSTRUCTION TIMELINE

Phase	Description	Est. Duration
Phase 1	Tenant Vacancy, Design & Permitting (NJ 20-Day Rule)	14 Weeks
Phase 2	Demolition, Site Prep & Dumpster Removal	2 Weeks
Phase 3	Mechanical, Electrical & Plumbing (Rough-in)	3 Weeks
Phase 4	Roof Replacement & Exterior Repairs	2 Weeks
Phase 5	Insulation, Drywall Repair & Paint	3 Weeks
Phase 6	Kitchen & Bathroom Installation	3 Weeks
Phase 7	Flooring, Trim, Doors & Final Finishes	2 Weeks
Phase 8	Final Inspections (UCC) & Punchlist	2 Weeks

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MARKET & ZONING INTELLIGENCE

The property is located in a dense, highly walkable urban neighborhood in the heart of New Brunswick, deeply integrated into the local educational and medical infrastructure. It sits adjacent to Rutgers University and Robert Wood Johnson University Hospital, creating a virtually recession-proof, high-demand pool of renters and buyers. The transit infrastructure is exceptional, with the New Brunswick Train Station (Northeast Corridor Line) located just 0.45 miles away, providing direct, high-speed commuter access to New York City and Philadelphia. While the hyper-walkability to groceries, parks, and nightlife is a major selling point for Gen Z and Millennial demographics, the area suffers from an elevated crime rate of 35.56 per 1,000 residents annually. This necessitates specific mitigation strategies, such as integrating smart security systems and exterior lighting. Additionally, the dense urban grid and historically small lot sizes mean the property's lack of off-street parking will face a strict valuation ceiling compared to competing assets with dedicated driveways.

ENVIRONMENTAL & LOCATIONAL FACTORS

Environmental Factor	Status / Impact
Nearest Transit	0.45 Miles (New Brunswick Station)
Crime Rate Status	35.56 per 1,000 (Elevated)
Flood Zone	X (Minimal Hazard)
Wetlands	None Present
Contamination	High Risk (1920 Build - Lead/Asbestos)

UNIT MIX & PROJECTED RENT ROLL

Unit Type	Count	Current Avg Rent	Pro-Forma Rent
Unit 1 (Layout Unverified)	1	$2,200	$3,000
Unit 2 (Layout Unverified)	1	$2,200	$3,000

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TAX ASSESSMENT & APPEAL STRATEGY

The property's current assessment of $301,900 yields a Subject Ratio of 79.45% against the True Market Value of $380,000. Because this ratio falls safely between the municipality's Lower Limit 59.17% and Upper Limit 80.05%, the property is classified as Case B and is strictly ineligible for a Chapter 123 tax appeal reduction. More critically, investors must heed a severe Strategic Warning regarding future tax liabilities. The planned $168,000 heavy-lift renovation will legally trigger an Added Assessment upon the issuance of the Certificate of Occupancy. Based on the $685,000 ARV and the Director's Ratio of 69.61%, the stabilized assessment will surge to approximately $476,829. This will skyrocket the annual tax burden from $7,677 to an estimated $12,126. Failing to underwrite this 58% tax increase will artificially inflate projected Net Operating Income and destroy long-term yield calculations.

CHAPTER 123 TAX METRICS

Tax Assessment Metric	Value
Current Assessment	$301,900
Implied Market Value	$433,702
True Market Value	$380,000
Director Ratio	69.61%
Upper Limit	80.05%
Lower Limit	59.17%
Est. Tax Savings	$0
Projected Stabilized Taxes	$12,126

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IDENTIFIED CRITICAL RISKS

- Catastrophic Overpricing: The $649,900 asking price guarantees a massive six-figure loss for flippers and negative cash flow for buy-and-hold investors.

- Tenant Eviction Friction: Month-to-month leases with a 90-day notice requirement in a highly tenant-friendly state pose a severe risk of a protracted, costly eviction battle.

- Added Assessment Tax Trap: The $168,000 renovation will trigger a legal tax reassessment, increasing the annual tax burden by 58% to $12,126.

- Zero Off-Street Parking: In a dense college town, the lack of parking for a 6-bedroom asset acts as a hard valuation ceiling and limits the premium tenant pool.

- 1920s Infrastructure: Opening walls in a century-old home carries a high probability of discovering knob-and-tube wiring, asbestos, lead paint, and rotted plumbing.

MITIGATION STRATEGIES

- Aggressive Price Negotiation: Do not acquire the asset unless the purchase price can be negotiated down to the $380,000 Fair Market Value.

- Cash for Keys: Implement a proactive 'Cash for Keys' buyout strategy to bypass the 90-day notice period and avoid the New Jersey eviction court system.

- Underwrite Stabilized Taxes: Strictly underwrite all long-term hold scenarios and end-buyer DTI calculations using the projected $12,126 stabilized tax figure.

- Target Transit Commuters: Heavily market the 0.45-mile proximity to the New Brunswick Train Station to offset the lack of parking and attract NYC/Philly commuters.

- Mandatory Sewer Scope & Contingency: Conduct a full sewer scope inspection to check for tree root intrusion and strictly maintain the 20% CapEx contingency for hidden 1920s defects.

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DUE DILIGENCE: VERIFICATION MATRIX

The following matrix highlights critical structural, zoning, or environmental discrepancies between municipal public records and the marketed property details.

Data Point	Public Record	Listing Claim	Risk Level
Year Built	1920	1920	LOW
Property Class / Unit Count	Class 2 (2-FAM)	2-Family / House-Hack (6 Beds)	LOW
Environmental (Lead/Asbestos)	Built 1920	Not Disclosed	HIGH
Parking	Not Specified	Zero Spaces	HIGH
Property Access / Showings	N/A	Showings start 3/16/26	HIGH
CapEx / Mechanicals	N/A	Roof 15+ yrs / Furnace 10+ yrs	MODERATE

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SALES COMPARABLES (RECENT CLOSINGS)

Address	Sale Price	SqFt	Beds	Baths	Sale Date
224 Somerset St	$700,000	1932	6	3	04/08/2026
70 Mine St	$695,000	1728	5	2	04/10/2026
60 Guilden St	$655,000	1989	N/A	2	03/24/2026
64 Comstock St	$600,600	1793	6	2	03/23/2026
300 Redmond St	$585,000	2012	7	3	03/31/2026

RENTAL MARKET TRENDS

Rental Trend Metric	Value
Median Rent	$2,400
Available Rentals	102
Market Temp	WARM
Yearly Change	$0

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